BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:
Staff Policy Panel

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Q. Would the members of the Staff Policy Panel please state your names, employer, and business addresses?

A. Our names are Craig Carroll, Hongbing (Jerry) Shang, Emmanuel Alexis, Philipose Philip, Brian Fisher and Davide Maioriello. We are employed by the New York State Department of Public Service (DPS or the Department). Our business address is Three Empire State Plaza, Albany, New York 12223 and 90 Church Street, New York, New York 10007.

Q. Mr. Carroll, have you discussed your credentials in another testimony in these proceedings?

A. Yes. My credentials are discussed in the testimony of the Staff Consumer Services Panel.

Q. Mr. Shang, have you discussed your credentials in another testimony in these proceedings?

A. Yes. My credentials are discussed in the testimony of the Staff Accounting Panel.

Q. Mr. Alexis, have you discussed your credentials in another testimony in these proceedings?

A. Yes. My credentials are discussed in the testimony of the Staff Electric Resilience and Reliability Performance Mechanism Panel.

Q. Mr. Philip, have you discussed your credentials in another testimony in these proceedings?

A. Yes. My credentials are discussed in the testimony of the Staff Electric Infrastructure and Operations Panel.

Q. Mr. Fisher, have you discussed your credentials in another testimony in these proceedings?

A. Yes. My credentials are discussed in the testimony of the Staff Shared Services Panel.

Q. Mr. Maioriello, have you discussed your credentials in another testimony in these proceedings?

A. Yes. My credentials are discussed in the testimony of the Staff Gas Reliability and Supply Panel.

SUMMARY OF THE TESTIMONY

Q. Please provide an overview of the Panel's testimony.

A. Our testimony addresses the affordability concern raised by the Company's substantial revenue requirement requests, and we will discuss 1) the need to focus on affordability in these proceedings, 2) the Company's recent rate history, 3) the Company's arrears, and 4) the

provision of safe and adequate service.

Q. Is the Panel sponsoring any Exhibits?

A. Yes, we are sponsoring two Exhibits Exhibit__(SPP-1) and Exhibit__(SPP-2). Exhibit__(SPP-1) provides our analysis regarding the Company's historical average customer bills, delivery revenue increases, inflation, forecasts of the Company's proposed rate increases, energy efficiency participation data, and economic data for Con Edison's service territory. Exhibit__(SPP-2) includes the responses to information requests, or IRs, that we have relied upon and referenced in our testimony.

Q. Does the Commission take affordability into consideration when setting rates?

A. Yes. The Commission's mission statement states that one of its core responsibilities is to ensure affordable, safe, secure, and reliable access to electric, gas, steam, telecommunications and water service for New York State's residential and business customers. This mission statement reflects the requirements of Public Service Law (PSL) Section 66 that requires the Commission to ensure safe and

adequate service at just and reasonable rates.

Q. Panel, please explain why affordability is one of Staff's main concerns in its review of the Company's electric and gas rate filings.

A. Our concerns mainly arise from the significant revenue increases the Company seeks in these rate filings, particularly in light of the previous revenue and rate increases in recent rate cases. The Company also has a significant arrears balance on its books, which shows customers are struggling to pay their utility bills amidst rising costs and broader economic pressures. This is especially concerning considering the Company's massive capital spending proposal for the Rate Year, which is calendar year 2026.

Q. Public Service Law Section 66 requires the Commission to set utility rates to enable the utility to provide safe and adequate service at a just and reasonable rates. Does Staff's focus on affordability compromise the balancing of these considerations?

A. No, our focus on affordability does not compromise this balance. In fact, our focus on

affordability is a part of our assessment of what revenue requirement, and what resulting rates would be "just and reasonable." Regarding the provision of safe and adequate service, the Company's electric and gas systems are among the most reliable delivery systems in the country. As various Staff Panels state in their testimonies, the revenue requirements we recommend reflect consideration of affordability and need while maintaining Con Edison's ability to provide safe and adequate service. In areas where Staff identifies safety and reliability issues in the Company's Transmission and Distribution (T&D) systems, we recommend increasing certain investments to enhance safety and reliability. Staff does recommend the Commission reduce or deny spending requests in several areas. However, these adjustments are intended to target spending that is unreasonable in proportion to purported improvements in safety or reliability that a given project would provide. Regarding its financial condition, the Company is characterized by Standard and Poor's as having an Excellent business risk profile,

and its credit ratings are among the highest of New York's utilities. The Company also enjoys numerous Commission-supported pass-through and true-up mechanisms. These policies insulate the Company from certain risks that are beyond the Company's control. Given the Company's overall stability and Staff's approach in these proceedings to balance safety and reliability with the critical need for affordability, we recommend the Commission focus on affordability in setting the revenue requirements and rates in these proceedings.

Recent and Currently Proposed Rate Increases

Q. Panel, please provide a brief review of the Company's recent rate history.

A. In its order approving three-year rate plans for the Company's electric and gas services in Cases 19-E-0065 and 19-G-0066 (2020 Rate Order), the Commission provided annual electric and gas delivery revenue increases for calendar years 2020, 2021 and 2022. These delivery revenue increases for calendar years 2020 through 2022 were 4.6 percent, 5.7 percent, and 4.7 percent for electric, respectively; and 10.9 percent,

11.4 percent and 9.7 percent for gas, respectively.

Q. What is the term of the Company's current rate plan?

A. The Commission in its Order approving three-year rate plans for the Company's electric and gas businesses in Cases 22-E-0064 and 22-G-0065 (2023 Rate Order) provided an annual electric and gas delivery revenue increase for calendar years 2023, 2024 and 2025. These delivery revenue increases were 6.6 percent, 6.2 percent, and 5.8 percent for electric; and 10.4 percent, 9.4 percent, and 8.6 percent for gas for calendar years 2023, 2024, and 2025, respectively.

Q. Panel, considering the revenue requirement increases over the last six years, what are the average monthly electric and gas residential heating customer bills?

A. As provided in the Company's response to DPS-726 and as shown on page one and two of Exhibit___(SSP-1), the average monthly residential electric bills for calendar years 2019, 2020, 2021, 2022, 2023 were $103.22,

$113.24, $114.46, $127.68, and $128.19. For residential gas heating customers, they were $337.78, $297.68, $373.98, $468.82 and $534.05, respectivly.

Q. Panel, what electric and gas delivery revenue increases does Con Edison seek in the Rate Year?

A. Based on its Correction and Update filing, Con Edison requests an electric delivery revenue increase of $1.61 billion, which equates to a delivery increase of 17.9 percent and a total revenue increase of 11.3 percent. For gas, the Company proposed a delivery revenue increase of $349.04 million, which equates to a delivery increase of 14.9 percent and a total revenue increase of 10.5 percent.

Q. What is the cumulative effect of the proposed electric and gas rate revenue increases?

A. As shown on Exhibit__(SPP-1), the cumulative effect of rate increases from 2020 through the Company's proposed Rate Year 2026 is an increase of 63 percent and 112 percent for electric and gas, respectively. In comparison, inflation is approximately 27 percent cumulatively over that same time-period.

Q. What are Staff's recommended Rate Year base delivery revenue changes?

A. As discussed in the direct testimony of the Staff Accounting Panel, for electric service we recommend a delivery revenue increase of $319.204 million, which is approximately $1.29 billion less than the amount requested by the Company. Our recommendation equates to a 3.7 percent delivery revenue increase and a 3.5 percent total revenue increase. For gas service we recommend a delivery revenue decrease of $45.463 million, which is $394.505 million less than the amount requested by the Company. This equates to a 2.0 percent delivery revenue decrease and a 0.5 percent total revenue increase.

Customer Arrears

Q. Panel, please describe the Company's customer arrears greater than 60 days prior to the COVID-19 pandemic.

A. Based on the Collection Activity Report the Company submitted in Case 91-M-0744 on January 15, 2020, Proceeding on Motion of the Commission to examine the collection practices

of the major gas and electric utilities in New York State, in December 2019 the Company had 336,287 total customers in arrears greater than 60 days with an associated dollar amount of $415.6 million. Of those customers, 89.3 percent were residential customers who accounted for 78.1 percent of the total arrearage dollars.

Q. Please describe the Company's current customer arrears greater than 60 days as of March 2025.

A. Based on the Collection Activity Report the Company submitted in Case 91-M-0744 on April 15, 2025, in March 2025, the Company reported 452,824 customers in arrears greater than 60 days with an associated dollar amount of $1.34 billion, an increase to the number of customers in arrears by 34.7 percent and the total dollar amount by 222.4 percent compared to pre-pandemic levels. Of the reported customers in arrears in March 2025, 88.2 percent were residential customers, accounting for 64.3 percent of the total arrearage dollars.

Q. Did the Commission provide bill relief in the aftermath of the pandemic?

A. Yes. In Case 20-M-0266, Proceeding on the

Motion of the Commission Regarding the Effects of COVID-19 on Utility Service, the Commission issued two orders that directed utilities to provide customers a one-time credit to address the increased arrears resulting from the COVID-19 impacts. First, the Commission issued its Order Authorizing Phase 1 Arrears Reduction Program on June 16, 2022 (Phase 1) that provided a credit to energy affordability program participants designed to eliminate accrued arrears through May 1, 2022. Second, the Commission issued its Order Authorizing Phase 2 Arrears Reduction Program on January 19, 2023 (Phase 2) to provide a one-time credit to reduce or eliminate arrears through May 1, 2022 for residential non-energy affordability program participants who did not receive a credit under the Phase 1 Order and for small commercial customers.

Q. What was the total amount in bill credits provided to customers in the Phase 1 and Phase 2 programs?

A. The Commission directed utilities to submit program reports detailing, in part, aggregated

credits provided to eligible customers for both Phase 1 and Phase 2. For Phase 1, Con Edison provided approximately $280 million in bill credits to energy affordability program participants. For Phase 2, Con Edison provided approximately $328 million in bill credits to accounts for residential non-energy affordability program ratepayers that did not receive a credit under Phase 1 as well as to small commercial accounts, totaling approximately $608 million in customer bill credits for arrears relief.

Q. What impact did the bill relief programs have on the Company's arrears?

A. For Phase 1, using Con Edison's June 2022 Collection Activity Report's arrears amounts prior to program implementation, the aggregated bill credits reduced residential arrears at that time by approximately 33 percent and total commercial and residential arrears by approximately 21 percent. For Phase 2, using Con Edison's January 2023 Collection Activity Report's arrears amount prior to program implementation, the aggregated bill credits

reduced arrears at that time by 24 percent. The Company states in its Customer Operations Panel initial testimony at page 15, that the arrears program significantly reduced arrears for eligible participants during the implementation of each phase, however, many customers did not resume payments on current bills and arrears continued to increase following the bill relief programs.

Q. Did the Panel compile the Company's reported data on arrears and deferred payment agreements from its collection activity reports?

A. Yes. The compiled data is provided in Exhibit___(SPP-1). We developed two charts based on the Company's collection activity report data depicting the number of customers in arrears greater than 60 days and associated dollar amounts broken down by residential and non-residential customers from 2018 to present. We also developed a third chart, provided in Exhibit___(SPP-1), that depicts the number of deferred payment agreements (DPAs) issued over the same time period for each residential and non-residential customer group. The charts

depict the ongoing struggles customers are having with affordability.

Q. Did the Company make a proposal to address its increased arrears in these proceedings?

A. Yes, the Company proposes in its Customer Operations Panel initial testimony at pages 18 to 19, to increase its customer field representatives (CFRs) FTEs in an effort to address the increase in customer arrears compared to pre-COVID amounts. Specifically, the Company requests 383 additional FTEs, but subsequently reduced it by 105, for a total of 278 requested FTEs in its corrections and update filing on April 10, 2025. The Company also proposes to increase digital touchpoints via email and text to inform customers about available bill payment options and programs to help manage their energy bills. The Staff Consumer Services Panel direct testimony addresses these proposals in depth.

Safe and Reliable Service

Q. Do the direct testimonies of the Staff Panels consider safety and reliability when reviewing the Company's electric and gas capital

expenditures and O&M program and project proposals?

A. Yes, as stated in their testimonies, the Staff Electric Infrastructure and Operations Panel (SEIOP), Staff Gas Reliability and Supply Panel (SGRSP), Staff Gas Safety Panel (SGSP), and the Staff Electric Resilience and Reliability Performance Mechanism Panel (ERRPM) focus on safety and reliability in their review of the Company's proposals. These Staff panels evaluated the information provided in the Company's Electric Infrastructure and Operations Panel Testimony and Exhibits and Gas Infrastructure and Operations Testimony and Exhibits, supplemented by over 1000 Company responses to Staff IRs. Additionally, Staff Panels participated in technical discussions and field visits with the Company to investigate and confirm the status of major on-going and proposed projects to assist in Staff's analysis of the timing, reasonableness of cost estimates, and the overall impacts on reliability and safety from these projects. This analysis and evaluation resulted in the recommendations

provided in testimonies and exhibits of the SEIOP, SGRSP, SGSP, and ERRPM.

Q. Does the Panel support the goals of the Community Leadership and Climate Protection Act?

A. We absolutely support these goals and Staff's testimony as a whole reflects this by recommending that the Commission approve funding for projects and programs that advance these goals, however, the Company proposes certain projects and programs that go above and beyond what the Company needs to provide safe and adequate electric and gas service. The various Staff panels discuss these issues in detail.

Q. Panel, do you have any further recommendations to the Commission?

A. We recommend that the Commission focus on affordability in these rate proceedings such that the rates set as a result provide the Company the revenues it needs to perform work needed to ensure the provision of safe and adequate service and to make reasonable steps in achieving the goals of the Community Leadership and Climate Protection Act, while taking into consideration the financial burdens imposed on

customers by recommending the Commission reject or modify programs and spending not absolutely necessary for the provision of safe and adequate service.

Q. Does that complete the Panel's testimony at this time?

A. Yes.